

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 22-34

SEAFAIR USA LLC

VS.

**STERLING CONTAINER LINE LIMITED AND
ATLANTIC FORWARDING LTD.**

**DECLARATION OF ASHLEY K. KELLEY
IN SUPPORT OF PETITION FOR ATTORNEY FEES**

1. I am an attorney licensed to practice law in the State of South Carolina (Bar. No. 78013) and a Partner at the law firm of Womble Bond Dickinson (US) LLP (“WBD”), counsel of record for Respondents Sterling Container Line Limited (“Sterling”) and Atlantic Forwarding Ltd. (“Atlantic,” and together with Sterling, “Respondents”).

2. I am lead counsel for Respondents in the above captioned proceeding, and as such, I am familiar with the facts and circumstances set forth herein, including with respect to the legal work done on this matter, the billing attorneys and timekeepers who performed such work, and the hourly rates charged.

3. I submit this Declaration in support of Respondents’ Petition for Attorney Fees (the “Petition”) in connection with the denial and dismissal of the Complaint of SeaFair USA LLC (“SeaFair” or “Complainant”) by the Presiding Officer on April 15, 2024 (and which became administratively final as of May 16, 2024).

I. Counsel of Record and Hourly Rates

4. The attorneys who performed the majority of the work on this case are myself and WBD Associate Julius H. Bodie, with additional support from WBD Of Counsel David Collins and WBD Associate Harriet O'Malley.

5. At all relevant times, Respondents were provided with a 20% discounted rate structure for the working attorney timekeepers on this matter.

6. I graduated law school in 2008 and during the pendency of this matter charged Respondents \$452.00 - \$484.00 per hour, reflecting a 20% discounted rate. My standard billing rate for that time period was \$565.00 - \$605.00 per hour. WBD's fees are subject to a yearly adjustment, and were increased slightly in 2023.

7. Upon information and belief and a review of WBD records, Of Counsel David Collins graduated law school in 1985 and is licensed to practice law in the State of South Carolina. Mr. Collins is based out of WBD's Charleston, South Carolina office. During the pendency of this matter, he charged Respondents \$528.00 - \$580.00 per hour, reflecting a 20% discounted rate. Mr. Collins' standard billing rate for that time period was \$660.00 - \$725.00 per hour.

8. Upon information and belief and a review of WBD records, associate Julius Bodie graduated law school in 2017 and is licensed to practice law in the State of California and Washington D.C. Mr. Bodie is based out of WBD's Washington D.C. office. During the pendency of this matter, he charged Respondents \$336.00 - \$380.00 per hour, reflecting a 20% discounted rate. Mr. Bodie's standard billing rate for that time period was \$420.00 - \$475.00 per hour.

9. Upon information and belief and a review of WBD records, associate Harriet O'Malley graduated law school in 2019 and is licensed to practice law in the State of South Carolina. Ms. O'Malley is based out of WBD's Charleston, South Carolina office. During the pendency of this matter, she charged Respondents \$316.00 per hour, reflecting a 20% discounted rate. Ms. O'Malley's standard billing rate for that time period was \$395.00 per hour.

10. I believe all of the hourly rates charged by each WBD attorney timekeeper who worked on this matter were reasonable for the respective legal markets and practice areas, and fairly reflected the skill and experience of each timekeeper. WBD billed Respondents on an hourly basis in a centralized computer system, with bills generally being generated monthly and issued to Respondents. All fees requested herein have been paid to WBD by Respondents.

11. Each timekeepers' standard billing rate would have been reasonable in light of the nature, volume, complexity, and value of claims asserted as well as the legal issues raised, and Respondents were further provided with a 20% discounted rate for all working timekeepers.

II. Respondents' Attorney's Fees and Costs

12. Attached hereto as Confidential-Restricted Exhibit A is an Excel chart describing the reasonable attorney fees requested in the Petition by timekeeper, date, hours, and narrative. Public Exhibit A contains the timekeeper, date, and hours expended, but has redacted attorney-client and work doctrine privileged timekeeper narratives. Attached hereto as Confidential-Restricted Exhibit B is a copy of the invoice documentation sent to Respondents by WBD since the initiation of this proceeding. Public Exhibit B similarly has redacted attorney-client and work doctrine privileged timekeeper narratives. For reference, the fees being requested are limited to those identified in the Excel chart included as Exhibit A and further described in Exhibit B.

13. To assist the Presiding Judge in determining the reasonableness of fees, I have provided a summary of the fees requested below, broken up into three phases of this proceeding.

A. Review and Answer Complaint, Prepare Disclosures, Prepare Mediation Outreach (December 1, 2022 - February 2, 2023)

14. This Petition relates to attorney fees charged to the Respondents beginning with the Respondents' receipt of SeaFair's original Complaint on December 1, 2022, including, but not limited to, (i) assessing the Complaint and preparing related response and defense strategy, including based on the inaccurate characterization of certain key facts and damages portrayed; (ii) conferring with the Respondents' legal and corporate leadership regarding the Complaint, and conducting related diligence to determine the legitimacy of SeaFair's allegations; (iii) conferring with personnel responsible for Respondents' insurance bond; (iv) drafting, finalizing, and filing Respondents' Answers to the Complaint; (v) preparing FMC Consumer Affairs & Dispute Resolution Services strategy for potential mediation; (vi) preparing Joint Status Report with counsel for SeaFair; (vii) preparing Initial Disclosures; (viii) preparing potential counterclaims and discussing claim and defense strategy with Respondents; (ix) preparing potential mediation strategy; and (x) coordinating with Respondents and its related international affiliate entities to prepare documentation sufficient to analyze and defend against SeaFair's claims.

15. The total hours billed and fees spent for this initial phase of the proceeding (December 1, 2022 through February 2, 2023) were as follows:

Timekeeper	Hours	Amount Billed
Ashley Kelley	20.8	\$9,401.60
David Collins	0.6	\$316.80
Julius Bodie	45.5	\$15,288.00
Total:	66.9	\$25,006.40

**B. Mediation, Discovery, and Attempted Amendment of Complaint
(February 6, 2023 – July 26, 2023)**

16. The second phase of this proceeding included an extensive discovery process that included counsel for Respondents responding to multiple rounds of requests for admissions, interrogatories, and requests for production, as well as responding to a Motion to Compel (which was denied as moot on June 26, 2023 (Doc. No. 20)). This included identifying and producing over 5,600 documents deemed to be responsive to Complainant’s supplemental production requests. Further, Respondents had to respond to Complainant’s Motion for Leave to Amend Complaint, filed after the close of discovery and ten days before Complainant’s initial briefing was due. (Doc. Nos. 21-23). The Presiding Officer correctly denied Complainant’s Motion for Leave to Amend, noting that many of the proposed changes were, or should have been, within SeaFair’s knowledge when it filed its original Complaint. (Doc. No. 23 at p. 2).

17. The total hours billed and fees spent for this secondary phase of the proceeding (February 6, 2023 – July 26, 2023), which included (i) reviewing and responding to multiple rounds of extensive discovery requests from Complainant; (ii) issuing discovery requests to Complainant; (iii) conferring with Respondents and multiple international affiliate entities on discovery strategy and identifying responsive documents in several international jurisdictions; (iv) engaging in mediation discussions with counsel for Complainant; (v) reviewing and

assessing Complainant's responses to Respondents' discovery requests; (vi) reviewing, assessing, and responding to Complainant's Motion to Compel; (vii) reviewing, assessing, and responding to Complainant's Motion for Leave to Amend the Complaint; and (viii) preparing for Respondents' Response briefing based on review and analysis of Complainant's discovery production; were as follows:

Timekeeper	Hours	Amount Billed
Ashley Kelley	53.4	\$24,136.80
David Collins	1.7	\$897.60
Julius Bodie	173.8	\$58,396.80
Harriet O'Malley	10.9	\$3,444.40
Total:	239.8	\$86,875.60

C. Review and Respond to SeaFair Briefing and File Sur-Reply (July 28, 2023 – October 21, 2023)

18. The final phase of this proceeding involved reviewing and assessing Complainant's Opening Brief, preparing and filing Respondents' Opposition Brief, reviewing and assessing Complainant's Reply Brief, and preparing and filing Respondents' Sur-Reply.

19. Complainant's Opening Brief contained new theories and arguments raised for the first time, as well as thousands of billing documents previously unseen by Respondents and relating to non-party Mediterranean Shipping Company ("MSC"). (*See, e.g.,* Complainant's Appendix 10 to Opening Brief; Opening Brief Appendices 9.1-9.5 MSC Statement of Account with SeaFair).

20. Complainant's Reply Brief introduced new evidence and legal theories (confirmed by the Presiding Officer in the Order on Respondent's Motion for Leave to File Sur-Reply (Doc. No. 34 at p. 2)) that forced Complainant to file a Motion for Leave to File Sur-Reply and detailed Sur-Reply. (Doc. Nos. 29 and 35). For example, Complainant's Reply Brief included a new Appendix containing 1,758 pages of email correspondence between Complainant and various non-parties, requiring extensive review for a thorough response. (Doc. No. 28, Complainant's Supplemental Appendix 2).

21. The total hours billed and fees spent for this final phase of the proceeding (July 28, 2023 – October 21, 2023), which included (i) reviewing and assessing Complainant's Opening Brief and associated Appendices; (ii) preparing and filing Respondents' Opposition Brief and associated Appendices; (iii) reviewing and assessing Complainant's Reply Brief and associated Appendices; (iv) preparing and filing a Motion for Leave to File Sur-Reply and Respondents' Sur-Reply; (v) conferring with Respondents on filings, responses, and claim strategy; and (v) reviewing and assessing Complainant's Responses; were as follows:

Timekeeper	Hours	Amount Billed
Ashley Kelley	22.0	\$10,046.40
David Collins	0.8	\$464.00
Julius Bodie	141.7	\$48,838.80
Total:	164.5	\$59,349.20

D. Total Costs and Reasonableness

22. In sum, Respondents seek the total of **\$171,231.20** in legal fees (comprising 471.2 hours between four timekeepers) as the prevailing party in defending this action between December 1, 2022 and October 21, 2023. I believe that the fees incurred by Respondents (at a 20% discount from the timekeepers' standard rates) and requested herein are reasonable in light of the allegations and extensive claims and documents produced or requested by SeaFair, SeaFair's multiple attempts to amend its complaint and damages theory, and reasonable diligence required in preparing the Respondents' defense.

23. As discussed further in the Petition, Complainant's mischaracterization and constant changing of its legal theories throughout this litigation, including the vague and misleading characterization of the relief requested and damages identified, Complainant's extensive production, and the voluminous discovery process, all resulted in significant time and effort put forth by the billing timekeepers identified herein to reasonably respond and defend the action.

24. Accordingly, in light of the foregoing and the arguments set forth in the Petition, I believe the requested fees are reasonable under FMC Rules of Practice and Procedure, including under the Statement of Commission *On Attorney Fees*, Commission Docket No. 21-14 (FMC 2021).

I declare under penalty of perjury that the foregoing is true and correct.

Charleston, South Carolina

Date: June 14, 2024

/s/ Ashley K. Kelley

Ashley K. Kelley, Esq.

(SC #78013; US District Court for the
District of South Carolina #10369)

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*Counsel for Atlantic Forwarding Ltd. and Sterling
Container Line Limited*

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 14th day of June, 2024, the foregoing Declaration was served via electronic mail on:

Federal Maritime Commission
The Honorable Alex M. Chintella
Administrative Law Judge
judges@fmc.gov

Complainant
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Counsel for SeaFair USA LLC

/s/ Ashley K. Kelley
Ashley K. Kelley, Esq.